

Entry barriers and contestable markets



For a monopoly or a small number of dominant firms to sustain profits over time, there have to be barriers to new firms entering the market and competing with lower prices. Such barriers are often inherent to particular kinds of production. For example, entry to markets that need huge initial capital outlays and a large scale of production from the outset to pay for it may be hard. The production of some goods might need access to specialized technology that is not freely available, perhaps protected by a patent (see [Patents](#)). Sometimes existing firms have built up such brand loyalty and reputation that it is difficult for newcomers to compete.

Barriers to entry may also be legal: governments may confer exclusive rights on single firms to supply certain goods and services. When there are no barriers, firms can enter markets easily and compete. Sometimes the threat of entry alone may be

enough to induce existing firms to charge more competitive prices: such markets are said to be contestable.